

Mark and Tana:

Enclosed is the note Mike sent to Curtis today. Hopefully this will get the ball rolling.

Regards,

TC

----- Forwarded by Tobin Carlson/HOU/ECT on 02/18/2000 10:22 AM -----

Enron North America Corp.

From: Michael E Moscoso 02/18/2000 09:43 AM

To: Curtis Smith/HOU/ECT@ECT

cc: Tobin Carlson/HOU/ECT@ECT

Subject: Re: Post ids

Curtis,

The TAGG IQ report we run daily compares our positions to our limits per the NYMEX. It is imperative that this report is accurate at all times. There is a significant amount of risk associated with violating our NYMEX limits, including disallowing Enron to trade futures. This would be a very serious problem. Our legal department receives this report daily to ensure we are complying with our limits.

Please let me know what I need to do to get a resource to review the problem we are having. Your proposed alternative solution will not work on a daily basis. The TAGG IQ report includes many other commodities besides natural gas. Your assistance is greatly appreciated.

Mike

----- Forwarded by Michael E Moscoso/HOU/ECT on 02/18/2000 09:36 AM -----

Enron North America Corp.

From: Tobin Carlson 02/18/2000 09:36 AM

To: Michael E Moscoso/HOU/ECT@ECT

cc:

Subject: Re: Post ids

FYI

----- Forwarded by Tobin Carlson/HOU/ECT on 02/18/2000 09:35 AM -----

Curtis Smith 02/17/2000 11:12 AM

To: Tobin Carlson/HOU/ECT@ECT

cc:

Subject: Re: Post ids

The problem with your port calc's is there is no April futures price being loaded. Speak with Veronica Arriaga about that. The other is there is no Volatility curve loaded for NBSK. Speak to Robert Richard about that.

The report is probably not accurate. It was written long ago and we just do not have the resources at the moment to look at it. The much better solution is to run an ERMS report that you have used in the past. Dutch Quigley will be able to help you with that. Dutch will only be able to help you with Natural Gas, if there are other commodities in question let me know.

Thanks,
Curtis

Enron North America Corp.

From: Tobin Carlson 02/16/2000 05:04 PM

To: Curtis Smith/HOU/ECT@ECT

cc:

Subject: Post ids

Curtis:

I need some help in the following areas. Do you think you could help me?

First, the following post ids for TAGG/METACALC Metaid #10472 are always erroring out. It doesn't matter what time of the day I run it. They are as follows:

622013
622012
576271
247701
216939
216946

Any information you could provide would be appreciated.

Secondly, I am not too sure that the TAGG IQ report that I send to Mark Taylor in Legal is working properly. I have no way of telling, however from my side. Do you know at all? Is this something you can advise? The report is under Report Group: Exchange Controls. The Report name is Limits.IQR. The numbers are not changing from day-to-day. I would appreciate it if you could look into this.

Thanks for your time,
Tobin